TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Sources of finance



Unit 4: Managing 2
4.1 Main sources of finance, cost of finance; 5.3–5.5 equity and loan capital

A revision lesson. Pupils run a car dealership in firms of four and revise sources of finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Total to pay back

Round 1

Same interest every year.

Total to pay back?

Loan	**€45,500**
Interest, each year	**3%**
Repaid over	**3 years**

ANSWER

€49,595

€45,500 + 3 × €1,365 = €49,595

Why: The loan costs €4,095 in interest.

2 Drawbacks of shares

Round 1

You plan to sell shares to pay for a second site.

Which two are drawbacks for the owners?

- **A** It raises the firm's gearing
- **B** The money must be repaid
- **C** Profit shared out as dividends
- **D** Interest to pay each month
- **E** Less control of the firm

ANSWER

✓ Profit shared out as dividends
✓ Less control of the firm

Why: New owners share control and profit; equity has no interest or repayment.

3 Rank total interest

Round 2

Three loans, simple interest.

Order by total interest, cheapest first?

- **A** €15,000 at 10% for 2 years
- **B** €20,000 at 6% for 3 years
- **C** €30,000 at 4% for 2 years

ANSWER

1. **€30,000 at 4% for 2 years**
2. **€15,000 at 10% for 2 years**
3. **€20,000 at 6% for 3 years**

Why: Interest: €2,400, €3,000, €3,600.

Topic tasks

4 Loan or shares

Round 2

Loan or new shares?

Dividends minus loan interest, a year?

Money needed	**€60,000**
Loan interest, each year	**9%**
Shares sold	**500 shares**
Dividend per share	**€20**

ANSWER

€4,600

500 × €20 − 9% × €60,000 = €4,600

Why: The shares cost €4,600 more each year.

5 Buy or lease

Round 3

You need €25,000 of diagnostic kit for two years only.

How should you get it, and why?

A Lease it

B Buy it with a loan

ANSWER

✔ Lease it

Why: Leasing avoids a big outlay for an asset you need only for a while.

6 Loan cost with fee

Round 3

Loan with a set-up fee.

Yearly cost with the fee, as a % of the loan?

Loan	**€26,000**
Interest, each year	**8%**
Arrangement fee	**€2,080**
Repaid over	**4 years**

ANSWER

10%

€2,080 ÷ 4 ÷ €26,000 = 2%; 8% + 2% = 10%

Why: The fee adds 2% a year to the rate.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Loans and investments”: the 6 come from these 10 questions.

1 The Growth Facility gives €50,000 at 10% interest. How much is repaid in total?

✔ **€55,000**

2 The Stock Facility is €25,000 at 10% repaid in 2 instalments. How much is each instalment?

✔ **€13,750**

3 You borrow €10,000 on the Quick Loan (10%, one instalment) to buy a car for €10,000 that sells for €13,000. After the loan and the VAT, what is left of the deal?

✔ **€1,439**

4 Your firm took the Growth Facility: €50,000 in, €55,000 to repay. How does the loan show in the net position just after drawing it?

✔ **Cash up by €50,000, debt up by €50,000: the net position is unchanged by the draw**

5 The Flagship dealership property costs €65,000 and returns about 9% a round. About how much does it pay each round?

✔ **About €5,850**

6 You bought a property for €45,000, it paid €3,150 in one round, and you sell it back at 95%. What is the overall result?

✔ **€900**

7 Your firm has €2,000 in cash, €2,800 of VAT due in the final 90 seconds, and a car in stock priced at €9,000. What is the soundest move?

✔ **Sell the car before the return opens, or take the Quick Loan if no buyer comes**

8 You drew the Quick Loan (€10,000, 10%) and can repay now from cash. What does repaying early do?

✔ **It clears the €11,000 debt from the net position; the interest is still paid**

9 The Quick Loan is €10,000 at 10% in one instalment. What is the instalment?

✔ **€11,000**

10 You take the Stock Facility (€25,000, 10%) to buy two cars for €12,500 each and sell them for €15,000 each. After interest and VAT, does the loan pay?

✔ **Yes: margins €5,000, minus €2,500 interest, minus VAT of €934, leaves €1,566**